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September 5, 2024

VIA E-MAIL: Secretary@FMC.gov

Honorable David Eng
Secretary
Federal Maritime Commission
800 North Capitol Street, N.W.
Washington, D.C. 20573

**Re: Docket No. 24-04: Respondent Dependable Highway Express, Inc.'s Petition
for Attorneys' Fees filed August 30, 2024**

Dear Secretary Eng:

Counsel for ICL USA, Inc. ("ICL"), Complainant in the above referenced docket, hereby submits a response to the filed Petition for Attorneys' Fees ("Petition") by Counsel for Respondent Dependable Highway Express, Inc. ("DHE"). Neither this response, nor the Petition filed by DHE's Counsel, are to be considered part of the record of subject proceeding since such proceeding was properly discontinued on August 12, 2024, by Federal Maritime Commission ("FMC"), Secretary Eng, in response to the parties', including DHE, filing of a stipulation of dismissal with prejudice of the complaint in accordance with 46 C.F.R. § 502.72(a)(2) that does not reference attorneys' fees. (See **Attachment 1**, Stipulation of Dismissal executed by all parties, including DHE; See **Attachment 2**, Notice of Voluntary Dismissal from Secretary David Eng discontinuing the proceeding). DHE's Counsel has disingenuously filed the Petition in violation of the FMC's regulations as will be noted below.

The essence of 46 C.F.R. § 502.254, the regulations that relate to the Attorney Fees as reparations, specifically require at Section 502.254(c)(1) that "[i]n order to recover attorney fees,

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the prevailing party must file a petition within 30 days after **a decision** becomes final.” (Emphasis supplied). At Section 502.254(b) the rule further defines the term “decision” to mean:

- (1) An initial decision or dismissal order issued by an Administrative Law Judge (“ALJ”);
- (2) A final decision issued by a small claims officer; or
- (3) A final decision issued by the Commission.

At Section 502.254(c)(2) the rule further requires the filing party to file the petition for attorneys’ fees with either:

- (1) The ALJ or small claims officer, if that official’s decision became administratively final under 46 C.F.R. §§ 502.227(a)(3), (c), 46 C.F.R. § 502.304(g), or 46 C.F.R. § 502.318(a); or
- (2) The Commission, if the Commission reviewed the decision of the ALJ or small claims officer under 46 C.F.R. §§ 502.227, 502.304, or 502.318.

Even a quick review of the Petition for Attorneys’ Fees filed by DHE’s counsel clearly indicates that this filing did not involve an initial **decision or dismissal order** issued by an ALJ; nor a **final decision** by a small claims officer; nor did it involve a **final decision** issued by the Commission. The Notice of Voluntary Dismissal, **Attachment 2**, clearly describes the process as one mandated by the parties’ stipulation of dismissal of the Complaint proceeding with prejudice, by which the Secretary concludes: “Therefore, the above-captioned proceeding is discontinued.” By no stretch of the imagination can the stipulation of dismissal by the parties be considered a “final decision by the Commission” for purposes of activating the “Attorney Fees” content of 46 C.F.R. § 502.254.

Additionally, a quick review of **Attachment 1 and Attachment 2** also clearly indicates that the petition for Attorneys’ fees was not filed with either the ALJ or small claims officer, if that official’s decision became administratively final under 46 C.F.R. § 502.227(a)(3), 46 C.F.R. § 502.227(c), 46 C.F.R. § 502.304(g), or 46 C.F.R. § 502.318(a); nor was it filed with the Commission, if the Commission reviewed the decision of the ALJ or small claims officer under 46 C.F.R. § 502.227, 46 C.F.R. § 502.304, or 46 C.F.R. § 502.318.

Conclusion. It is abundantly clear that subject Petition did not meet the regulatory requirements that such petition was related to a “decision” as defined in the regulations and, therefore, did not meet those requirements of 46 C.F.R. § 502.254(c)(1). Additionally, the Petition was not filed with the appropriate persons or the Commission pursuant to 46 C.F.R. § 502.254(c)(2) and is further reason for not giving this Petition any further consideration. ICL requests that the Secretary acknowledge these critical shortcomings of the Petition.

Prevailing Party and Other Misrepresentations. Since the subject Petition filed by DHE Counsel does not meet the requirements noted in 46 C.F.R. § 502.254(c)(1) and 46 C.F.R. § 502.254(c)(2) it is not necessary to prove that DHE does not also meet the requirements of a **prevailing party** per the cases cited and the discussion contained at 81 Fed. Reg. 10518 (Mar. 1, 2016). Nevertheless, it should be noted that DHE counsel submitted major misrepresentations in the Petition and did not address the fact that the ALJ had ruled against it on a Motion to Dismiss as a pertinent necessary and indispensable party, and that the proceeding was resolved only when DHE was held to be subject to the proceeding and participated with Respondent MSC and Complainant ICL directly to resolve the facts known exclusively to those Respondents (and not to Complainant) which related to:

- a) amounts advanced by DHE for demurrage/detention (“D&D”) invoiced to it by MSC for ICL transactions, known only to DHE and ICL;
- b) amounts of D&D waived by MSC pursuant to waiver procedures initiated by ICL against MSC and specified in the Complaint as Exhibit 2; and
- c) amounts which had been refunded to DHE by MSC because of the waivers obtained by ICL on behalf of DHE (Exhibit 2 of the Complaint), but which were still being claimed by DHE from LCL, even though DHE had substantially refunded such funds to DHE in the amounts of \$117,235 on or about November 10, 2023, before subject proceeding was filed by ICL on January 12, 2024, but which DHE did not disclose to ICL until February 6, 2024 (in general terms and never transaction specific), which amounts were again admitted by DHE in **Attachment 1**,

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Stipulation of Dismissal, filed August 5, 2024. Had this information been provided by DHE to ICL on November 10, 2023, or any time before January 12, 2024, this Complaint would never have been filed by ICL.

Furthermore, it is worth noting that while DHE complains of participation in this proceeding, through this proceeding, DHE received refunds from MSC for demurrage amounts that had been waived by MSC through petition by ICL. Furthermore, these payments could only have resulted from information exchanged known only to respondents.

DHE's Motion to Dismiss. What is clear is that DHE is attempting in its current Petition to relitigate its Motion to Dismiss filed February 5, 2024, which was denied by the ALJ by Order dated March 15, 2024. The ALJ found that DHE was a proper party in this proceeding citing: “[T]hough the trial court may rule on disputed jurisdictional facts at any time, if they are inextricably intertwined with the merits of the case it should usually defer its jurisdictional decision until the merits are heard.” *Herbert v. Nat’l Acad. of Sciences*, 974 F.2d 192, 198 (D.C. Cir. 1992). The ALJ concluded that “[a]ccordingly, at this time, Dependable will not be dismissed on the basis of jurisdiction to give the parties an opportunity to conduct discovery, clarify the roles of each entity, and brief the merits of the proceeding.”

In fact, the opportunity provided by the ALJ, after the unnecessary delay and expense caused by DHE's Motion to Dismiss, did result in the parties conducting informal discovery and quickly coming to the factual conclusions contained in the Stipulation of Dismissal, **Attachment 1**. Additionally, given the above findings, the ALJ concluded that DHE's request for sanctions against ICL in its Motion to Dismiss were not appropriate and were denied. The Petition is clearly a disingenuous attempt to untimely appeal the ALJ's Order denying DHE's Motion to Dismiss dated March 15, 2024. However, the facts of this matter which are clearly captured in the Stipulations of Dismissal, will also substantiate that DHE in no way was a “prevailing party” in the context of 46 C.F.R. § 502.254, but rather it underscores that this was an attempt by DHE to circumvent the findings and Order of the ALJ in its Order denying the Motion.

Additionally, this was also an attempt, either advertently or not, to collect sums of D&D from ICL which it had already received as refunds from MSC on November 10, 2023. DHE attempted to informally disclose to ICL on February 6, 2024, via e-mail an amount of \$117,235 received from MSC for per diem refunds, but only after MSC was providing that information to ICL counsel in the informal discovery process. Since these funds were received by DHE on November 10, 2023, if ICL had known this at that time or any time prior to January 12, 2024 (the date that ICL filed its Complaint with the FMC) the lawsuit would not have been filed nor would the excessive expenses have been incurred by ICL on legal fees and other costs. ICL hereby reserves all rights it may have to recoup those damages in that regard either at the FMC or other venues resulting from the withholding of this information.

Supporting Facts in the Stipulation of Dismissal by the Parties. The following facts, included in the Stipulation of Dismissal by the parties, including DHE, reflect negatively on the claim by ICL that it was a **prevailing party** and support the facts provided herein in this response:

- a) The parties agreed by Stipulation 3, 9, and 14 that ICL had obtained waivers from MSC for per diem charges as provided in Exhibit 2 to the Verified Complaint totaling \$131,030 in refunds to ICL from MSC.
- b) The parties agreed by Stipulation 6 that DHE received refunds on November 10, 2023, in the amount of \$117,235 in per diem charges it had previously paid to MSC pertaining to subject proceeding.
- c) MSC agreed by Stipulations 7 and 8 to pay an additional amount of \$13,795 to DHE related to payments paid on behalf of ICL which were paid on June 3, 2024.

The conclusion that is clear from these facts is that the sole reason for the refund payments from MSC to DHE were because ICL, by its own efforts and expenses, had undertaken the initiative to obtain waivers from MSC in the amount of \$131,030 on per diem invoices issued by MSC to DHE pursuant to contractual arrangements between those parties. None of the per diem invoices were made out to ICL. The main reason for ICL taking this matter to the FMC by filing a Complaint was that DHE was seeking payment of monies from ICL, which unbeknownst to ICL,

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DHE had already received from MSC refunds in the amount of \$117,235 on November 10, 2023. However, DHE, as noted, did not inform ICL of the receipt of these funds from MSC until February 6, 2024, after ICL had filed the Complaint on January 12, 2024. And as previously noted the February 6, 2024 notice was in general terms and not on a transaction basis. Therefore, even then, these specific details were not clearly visible until the ALJ forced ICL to the table with MSC and ICL by denying DHE its Motion to Dismiss. None of these facts with respect to the acts of DHE meet the “prevailing party” standard. To the contrary, DHE was clearly misrepresenting facts as to monies which it had already received from MSC prior to the Complaint being filed by ICL.

We respectfully request on behalf of our client ICL that the Secretary on behalf of the Commission completely disregard as improper and disingenuous DHE’s Petition for Attorneys’ Fees and that the matter pursuant to Docket No. 24-04 be still considered discontinued as of August 12, 2024.

Regards,

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Enclosures
cc: Office of Administrative Law Judges